

Organizational Culture as a Strategic Asset: Driving Economic Success and Competitive Advantage

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Abstract

This thesis explores organizational culture as a key driver of business success and competitive advantage. It examines how internal practices, leadership styles, and workplace dynamics shape employee behaviour, satisfaction, and performance. Special attention is given to the damaging effects of toxic practices—such as excessive control, secrecy, and surveillance—and their consequences on innovation, trust, and long-term productivity. Drawing from theories of strategic alignment and cultural transformation, the thesis highlights the shift from control-based management to commitment-driven approaches. It also addresses why harmful practices persist and presents a positive agenda for building inclusive, resilient, and high-performing workplaces. Through theoretical analysis and case study exploration—such as the example of Starbucks—the study provides a framework for aligning culture with strategy while considering the trade-offs involved in organizational effectiveness. Ultimately, it underscores that culture is not a soft concern, but a strategic imperative.

Keywords: Organizational Culture, Employee Behaviour, Strategic Alignment, Corporate Performance, Competitive Advantage.

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1. INTRODUCTION

In today's dynamic and competitive business environment—marked by constant pressure for efficiency, innovation, and adaptability—the way an organization develops and maintains its internal culture has emerged as a decisive factor for long-term sustainability. Organizational culture refers to the shared values, beliefs, behaviors, and norms that shape how members of an organization interact and work toward common goals. It encompasses the company's mission, vision, work environment, leadership style, communication practices, and attitudes toward innovation and change. It not only influences internal relationships but also has a direct impact on employee well-being, institutional cohesion, and strategic outcomes, which ultimately affects productivity and competitiveness of the organization (Schein, 2010; Denison, 1990; Cameron & Quinn, 2011).

A substantial body of literature has already demonstrated the relevance of organizational culture in shaping firm performance, guiding strategic decision-making, and influencing employee outcomes (Kotter & Heskett, 1992; Barney, 1986; Ogbonna & Harris, 2000). However, while the importance of culture is widely acknowledged, less attention has been paid to how it operates as a strategic lever that connects top-level decision-making with day-to-day employee experience and organizational outcomes. In particular, the nuanced relationship between culture, toxic practices, and sustainable competitive advantage remains underexplored. This thesis aims to address that gap by analysing culture not as a static attribute, but as an active and dynamic tool for long-term organizational success and as a driver for business performance and competitive advantage.

The central argument is that investing in a healthy organizational culture—one based on transparency, inclusion, trust, and social responsibility—is not only ethically sound but also strategically wise. A people-cantered culture fosters employee engagement, strengthens strategic alignment, and improves both internal effectiveness and external reputation (Denison, 1990; Groysberg, Lee, Price, & Cheng, 2018).

To support this, the paper will examine the consequences of work practices focused solely on short-term performance, toxic organizational practises, delve into the role of middle management, incorporate theoretical frameworks, and review recent empirical research connecting workplace climate to organizational performance. Ultimately, it argues that only

through a strong, coherent, and human-centered organizational culture can truly sustainable companies be built.

The main objectives of the research are:

- To examine the relationship between organizational culture and employee satisfaction, innovation, and productivity.
- To identify detrimental organizational practices and their short- and long-term consequences on performance and well-being.
- To explore the mechanisms through which toxic cultural elements persist despite their negative impact.
- To assess how aligning organizational culture with strategic goals can enhance business outcomes.
- To highlight successful real-world examples, such as Starbucks, that demonstrate the value of a healthy corporate culture.
- To propose a framework and actionable recommendations for building and sustaining a competitive and human-centered organizational culture.

The main contribution of this thesis lies in its interdisciplinary approach, combining insights from organizational psychology, strategic management, and human resource practices to explore how culture can be leveraged as a foundation for both ethical and economic value creation. The analysis offers practical guidance for leaders, HR professionals, and policymakers seeking to align organizational culture with broader strategic goals, reduce harmful practices, and foster environments that support innovation, engagement, and resilience.

The findings aim to highlight the practical implications of embedding culture at the heart of business strategy in the pursuit of sustainable and resilient organizational success, and the implications of this analysis extend to leadership practices, HR strategies, and long-term organizational design, suggesting that culture is not a soft variable, but a key driver of strategic success.

The structure of the thesis is organized as follows: after introducing the theoretical foundations of organizational culture, the analysis will explore the factors influencing employee behaviour and satisfaction. It will then examine the impact of toxic practices and short-term thinking on culture and performance. The later chapters will focus on positive frameworks, case studies,

and the trade-offs involved in cultural transformation, culminating in conclusions and implications for future research and practice.

2. METHODOLOGY

This thesis adopts a descriptive and analytical approach grounded in a comprehensive literature review and the examination of real-world cases. In social science this is a often used methodology (Neuman, 2014). The primary objective is to explore the role of organizational culture as a strategic asset for achieving sustainable business success and competitive advantage.

The research relies on a qualitative method, drawing from academic literature, peer-reviewed journal articles, books, and credible reports that focus on organizational behaviour, human resource management, leadership, and corporate strategy. The aim is to synthesize existing knowledge, identify recurring patterns, and highlight key concepts that link organizational culture to performance outcomes.

In addition, the paper presents an example of a successful case, Starbucks, which serve to illustrate how the implementation of human-centred, values-driven organizational cultures can result in tangible benefits, including improved employee engagement, innovation, and reputation. This example is not analysed quantitatively but used to contextualize and support theoretical findings, offering practical insight into how cultural values translate into organizational effectiveness.

This methodology enables a deeper understanding of the dynamics between culture and strategy while maintaining a critical perspective on practices that hinder long-term value creation.

3. ORGANIZATIONAL CULTURE AND ITS ROLE IN BUSINESS SUCCESS.

As mentioned before, organizational culture is defined as the set of shared values, beliefs, norms, habits, communication styles, symbols, and behaviors that define an organization and shape how its members interact with each other and with the external environment (Schein, 2010; Hofstede, Hofstede, & Minkov, 2010). It involves unwritten norms, ways of relating, leadership style, and attitudes toward change, mistakes, and success. It was identified as one of the main aspects of the organizational behavior, useful to understand how organizations work (Kristof, 1996) and how well a worker fits into a particular organization (O'Reilly, 1989).

In other words, it is the “personality” of the company; those unwritten rules that everyone seems to “know” and replicate in their daily work. It includes aspects such as:

- What attitudes are rewarded or punished.
- How decisions are made.
- How different hierarchical levels interact.
- The importance given to employee well-being, innovation, or meeting performance goals.

The organizational structure, in contrast, refers to the formal framework of the company (hierarchies, roles, departments, decision-making processes), defining how the company is organized on paper, who does what, who reports to whom, and how decisions flow. It is the framework for getting things done, as defined by Armstrong and Taylor (2014). The organizational culture, instead, defines how work is truly experienced within that company, how employees work, collaborate, resolve conflicts, perceive leadership, and respond to internal and external challenges. Basically, it is “the way we do things around here” (Deal & Kennedy, 2000).

While culture often evolves organically over time, it can also be intentionally shaped and reinforced by leadership (Schein, 2010; Kotter & Heskett, 1992).

Key components of organizational culture include the organization's core values and beliefs (Cameron & Quinn, 2011), which serve as guiding principles for decision-making and behaviour. Additionally, culture is reflected in norms and practices—the accepted ways of working and interacting—as well as in the symbols and language that communicate meaning within the organization (Schein, 2010; Alvesson, 2013). Leadership style and the overall dynamics of the work environment also play a crucial role in shaping how employees collaborate, engage, and contribute (Yukl, 2013; Schneider, Ehrhart, & Macey, 2013).

Organizational culture is a fundamental driver of business success. One of its most critical roles lies in strategic alignment: a strong culture ensures that all employees are working toward the same strategic objectives, enabling cohesive decision-making and unified direction (Schein, 2010; Barney, 1986). Culture also greatly influences employee engagement, motivation, and retention. When individuals feel aligned with the organization’s values and purpose, they are more committed, which in turn enhances productivity (Katzenbach & Smith, 1993; Lok & Crawford, 2004).

This internal commitment extends to the customer experience. Motivated and satisfied employees tend to provide better service, strengthening customer relationships and loyalty (Heskett, Jones, Loveman, Sasser, & Schlesinger, 1994). Furthermore, cultures that promote continuous learning, innovation, and open communication are more adaptable to change, a vital trait in today's fast-paced, competitive business environment (Schein, 2010).

In addition, a positive organizational culture enhances a company's reputation and brand image, contributing to long-term trust and loyalty from both employees and customers (Kotter & Heskett, 1992).

Ultimately, organizational culture is not merely a soft or intangible aspect of business—it is a powerful, strategic asset. Employee satisfaction, performance, customer loyalty, and productivity form a self-reinforcing cycle that drives sustainable success (Denison, 1990). Organizations that consciously cultivate and nurture a healthy culture are better positioned to achieve resilience, innovation, and lasting competitive advantage (Cameron & Quinn, 2011). In essence, when that climate is positive, it becomes a fertile ground for collaboration, innovation, and sustainable success. When it is toxic, it corrodes the very foundations of long-term growth (Schein, 2010). It is a determining factor in the effectiveness and efficiency of employees.

4. FACTORS THAT AFFECT EMPLOYEE BEHAVIOUR

Motivation, Commitment, and Engagement in Organizational Performance

Motivation, commitment, and engagement are interrelated psychological and behavioural drivers that significantly influence employee performance and organizational success (Meyer, Becker, & Vandenberghe, 2004). Together, they form the foundation of a high-functioning workforce capable of achieving strategic objectives in a sustainable manner (Saks, 2006).

Motivation refers to the internal and external forces that initiate, direct, and sustain human behaviour toward achieving specific goals. In the organizational context, motivation is what drives employees to engage with their tasks, persist through challenges, and strive for excellence. It is shaped by a combination of **intrinsic factors**, such as personal growth, recognition, and a sense of purpose, and **extrinsic factors**, including salary, job security, and working conditions (Ryan & Deci, 2000). Understanding what motivates employees is essential

for aligning individual efforts with corporate goals, as motivated employees tend to demonstrate higher productivity, creativity, and commitment to success (Deci & Ryan, 1985).

Closely connected to motivation is **commitment**, which reflects the emotional attachment and loyalty an employee has toward their organization. Committed employees identify with organizational values, are willing to invest discretionary effort, and are more likely to remain with the organization over time. Their dedication enhances team cohesion, reduces turnover, and fosters a positive workplace culture (Meyer, Stanley, Herscovitch, & Topolnytsky, 2002).

Engagement goes a step further, encompassing the level of enthusiasm, energy, and involvement employees bring to their roles (Kahn, 1990). Engaged employees are not only satisfied but also deeply invested in their work, proactively contributing ideas, embracing responsibility, and continuously seeking ways to improve performance (Saks, 2006). Engagement influences not just individual output, but also collaboration, innovation, and adaptability across the organization (Bakker & Demerouti, 2008).

The absence of motivation, commitment, or engagement can lead to serious organizational challenges. Low morale may manifest in reduced productivity, poor-quality work, higher absenteeism, and increased turnover (Shaban, Al-Zubi, Ali, & Alqotaish, 2017), ultimately impacting customer satisfaction and profitability. In severe cases, disengagement may contribute to active resistance, such as internal conflict or even sabotage (Fox, Spector, & Miles, 2001).

Research highlights the importance of implementing a **balanced strategy** that addresses both financial and non-financial needs (Mohamed, Matan, & Farah, 2025). While competitive compensation, bonuses, and job stability are important, non-monetary factors—such as recognition, opportunities for advancement, a supportive culture, and meaningful work—are equally vital in fostering motivation, commitment, and engagement (Markos & Sridevi, 2010).

In conclusion, motivation drives behavior, commitment sustains loyalty, and engagement fuels high performance. When organizations actively nurture all three, they create a work environment where employees are not only capable but also willing and eager to contribute to shared success. Such an environment leads to enhanced organizational effectiveness, innovation, and long-term competitiveness.

5. WORK SATISFACTION AND PERFORMANCE: HOW WORKPLACE RELATIONSHIPS INFLUENCE PRODUCTIVITY

The Relationship Between Strong Workplace Culture and Employee Retention

A strong organizational culture—one that promotes shared values, trust, inclusion, and open communication—plays a crucial role in fostering employee satisfaction and commitment. When employees perceive that their personal values align with the company's mission and culture, they are more likely to remain engaged, loyal, and motivated over time (Kristof-Brown, Zimmerman, & Johnson, 2005). This alignment not only reduces turnover but also enhances overall organizational performance by preserving institutional knowledge, strengthening team cohesion, and minimizing the costs of recruitment and training. Conversely, when there is a disconnect between an employee's expectations and the organization's actual cultural environment, dissatisfaction and disengagement often follow, ultimately leading to higher attrition rates (O'Reilly, Chatman, & Caldwell, 1991).

High turnover driven by poor cultural fit can have profound economic and social consequences. Beyond direct financial costs—such as those related to hiring, onboarding, and productivity losses—there are intangible losses in morale, continuity, and collective expertise. Over time, this instability can erode trust among remaining employees, damage the employer brand, and create a reactive organizational climate in which long-term goals are sacrificed for short-term fixes (Hom, Lee, Shaw, & Hausknecht, 2017). Therefore, nurturing a positive workplace culture is not only a humanistic imperative but also a strategic necessity for sustaining productivity and long-term success.

The human relations movement, spearheaded by Mayo (Mayo, 1933) and supported by Roethlisberger and Dickson's research (Roethlisberger & Dickson, 1939), was founded on the idea that improving worker satisfaction, particularly through supportive and considerate supervision and addressing their social needs, could lead to higher productivity. Contrarily, other researchers (Brayfield & Crockett, 1955; Katz, Maccoby, & Morse, 1950; Katz, Maccoby, Gurin, & Floor, 1951; Roethlisberger & Dickson, 1939; Spector, 1997) have found that there is little relationship between satisfaction and performance. These contradictory results lead Armstrong and Taylor (2013) to suggest that it is not increases in satisfaction that produce improved performance but improved performance that increases satisfaction.

However, I believe this is a self-reinforcing cycle. Regardless of which factor initiates the process, there is a strong connection between both elements, causing a change in one to influence the other. Therefore, implementing changes in one will inevitably lead to changes in the other: efforts to improve satisfaction will naturally result in increased productivity, and vice versa.

6. DETRIMENTAL PRACTISES IMPACTING ORGANIZATIONAL CULTURE

6.1.Damage Control vs Positive HR Strategies

A strong organizational culture can serve as a powerful asset, but when neglected or mismanaged, it can also become a liability (Schein, 2010). Certain traditional or outdated practices—often rooted in control, secrecy, or short-term thinking—undermine the development of a positive workplace climate and hinder organizational effectiveness (Walton, 1985; Schein, 2010).. These detrimental approaches frequently emerge in the absence of human-centered leadership and proactive HR strategies. In this section, we begin by analyzing one of the most prevalent of these pitfalls: the reliance on “damage control” as a substitute for genuine engagement with employee needs and contributions.

This traditional approach does not prioritize listening to individual voices. Instead, concerns are only acknowledged when expressed collectively, typically through coercive structures such as labour unions or disruptive actions like strikes. As Walton (1985, p. 4) notes, “In the traditional approach, there was generally little policy definition with regard to employee voice unless the work force was unionized, in which case damage control strategies predominated”. From this perspective, employee feedback is not seen as a source of constructive input but rather as a constraint to be managed. As a result, organizational strategy becomes one of “damage control,” focused more on avoiding harm than on fostering growth or innovation. This restricts, rather than empowers, the workforce and creates a work environment that is reactive rather than proactive, which ultimately leads to a leveling-down of employee potential and performance. The traditional model approaches the fallouts of the work experience, such as burnout, high turnover, public criticism, etc., containing the damage rather than transform the system.

Damage control strategies are reactive or compensatory measures a company might take instead of proactively investing in employee well-being and engagement (Walton, 1985). Essentially,

they are minimal-effort or band-aid approaches that aim to manage symptoms, not solve root causes. To name a few:

- Offering a meditation app or stress management session during a crisis, instead of addressing root causes like overwork or toxic leadership.
- Offering token programs aimed more at brand image than real change, because employees see through inauthentic actions.
- Performance Improvement Plans and performance-based compensation schemes that are presented as tools to incentivize higher quality and accountability in employee performance, when, in practice, these mechanisms frequently impose unrealistic expectations that do not take contextual limitations into account. Rather than fostering improvement, they tend to shift responsibility solely onto the individual, effectively reframing systemic or managerial shortcomings as personal failures.
- Anonymous networks lines to report problems, framed as a positive tool for transparency, ethics, and psychological safety, especially in large or complex organizations. Managers advertise it as a way to allow employees to voice concerns without fear, to foster a more open environment, when if not properly managed, these systems can sometimes lead to a lack of accountability and superficial compliance.

In this way, what is initially framed as a strategy for motivation, transparency and development, becomes a disciplinary tool, a temporary or quick-fix solution that addresses a problem on the surface but does not solve the root cause of the issue.

6.2.Surveillance capitalism and algorithm management

Organizations continue to be fundamentally shaped by control mechanisms rooted in a panoptic philosophy (Foucault, 2002), a model originally developed in military and religious hierarchies. This philosophy found its scientific foundation in the principles laid out by Frederick W. Taylor, known as the father of scientific management (Taylor, 1911). While these early 20th-century management models emphasized direct supervision and hierarchical oversight, their core logic persists today through more technologically advanced means. In particular, the panoptic principle of continuous observation and behavioural control has been transformed and amplified by **algorithmic management** and the economic model of **surveillance capitalism**.

The advent of advanced digital technologies and data-driven management practices has transformed the ways in which control and monitoring are embedded within corporate culture.

These modern approaches use digital monitoring, data analytics, and automated decision-making to enforce discipline and productivity, extending panoptic control into the digital age.

Susana Zuboff´s popular concept of "**surveillance capitalism**" (Zuboff, 2019) refers to an economic model in which companies collect, analyse, and monetize personal and behavioural data—often without explicit user consent—in order to predict and influence future behaviours. The goal is not only to understand what people do, but to shape what they will do. This shift has led to novel mechanisms of control within organizations, moving beyond direct supervision by human managers toward **algorithmic management**, where software and automated systems increasingly govern employee tasks, evaluations, and even disciplinary actions.

This technological embedding of surveillance within the workplace culture fundamentally alters power relations between employer and employee, impacting autonomy, privacy, and well-being.

The idea is that this extreme level of control was made possible by the logic of surveillance capitalism, which turns monitoring into a resource for algorithmic governance. A prominent example of this shift can be seen in the practices of companies like Amazon, where algorithmic management and extensive digital surveillance are central, in this case, not only to workforce control, but also as tools to enhance their competitive advantage in the market (UNI Global Union, n.d.). Amazon´s surveillance tools and methods extend beyond the confines of its warehouses—where cameras, scanners, and tracking devices meticulously measure worker productivity—to delivery drivers, who are closely tracked via mobile apps and AI-equipped vehicle cameras. Not only controlling employees, it expands to customers, since the company also gathers data from them through devices like Alexa, which listens to and analyses conversations, and through their shopping behaviour on Amazon platforms, among other things.

This expansion of surveillance goes far beyond operational efficiency—it enters the realm of political and social control, raising serious concerns about privacy, democracy, and labour rights, not to mention that the constant monitoring has severe consequences for the physical and mental health of employees, negatively affecting their overall well-being and quality of life.

This expansion of surveillance goes far beyond operational efficiency—it enters the realm of political and social control, raising serious concerns about privacy, democracy, and labour rights (Zuboff, 2019). The constant monitoring also has well-documented consequences for employee

well-being, including increased stress, reduced autonomy, and feelings of alienation, which often trigger resistance from the workforce. These effects will be examined in detail in the upcoming section on organizational outcomes.

6.3.Anonymity and secrecy

Institutionalized secrecy and anonymity in large corporations are not mere oversights or communication failures; rather, they often function as deliberate managerial tools designed to preserve hierarchical power, regulate emotional dynamics within the workplace, and protect organizational interests. This culture of opacity manifests in everyday practices like discouraging discussions about salaries, concealing the criteria behind promotions, and withholding transparency in decision-making processes. Common phrases like *"those are orders from above"* exemplify how these dynamics become normalized in organizational discourse.

Although such secrecy is frequently justified under the pretext of safeguarding proprietary or strategic information, research indicates that its primary function is often the protection of internal power structures rather than genuine business needs. This comes at a high cost, not only in terms of employee morale and psychological safety but also in **reduced organizational performance, shareholder trust, and long-term reputation** (Ellis, 2020), while **reinforcing vertical power structures**.

Reduced organizational performance: Unlike standard confidentiality policies, which are typically limited and purpose-specific, a pervasive culture of secrecy serves broader strategic goals. It restricts employee voice, undermines trust, and stifles innovation by limiting the free flow of information within the organization. Ultimately, this form of governance reveals a preference for control over collaboration - a logic that may protect managerial interests in the short term but erodes organizational resilience over time (Edmondson, 2018).

Reinforcing vertical power structures: Reinforcing vertical power structures, a culture of secrecy goes beyond just protecting business confidentiality; it becomes a strategy for avoiding accountability. It helps leadership avoid direct confrontation with employees and shields them from emotional responses that might challenge their authority (Morrison & Milliken, 2000; Bok, 1989; Tourish & Robson, 2006). This type of secrecy creates an environment where communication is limited, and the flow of feedback is suppressed, making it easier for those in power to maintain control while minimizing transparency and accountability.

Opacity prevents the identification and criticism of those who truly make the decisions, ultimately reinforcing the vertical power hierarchy within the organization. In essence, the underlining purpose is to enable those involved to create psychological "space" between their self-concept and personal accountability for decision-making (Clarke, Higgs, & Garavan, 2024, p. 15), creating a pathway for power consolidation and concentration, without bearing the costs. This psychological distance is also explained by Bandura's theory of moral disengagement, which suggests that secrecy in decision-making enables individuals to participate in unethical actions without experiencing moral distress or personal accountability (Bandura, 1999).

It ultimately creates a culture of uncertainty that maintains employees under emotional vigilance (Kramer, 1999). This uncertainty can cause anxiety, a lack of trust, and emotional tension among employees, who may feel constantly watched or judged without clear guidance or communication from their employers, leading to stress and disengagement.

Reduced shareholder trust: Organizational secrecy functions not merely as a poor ethical practice but as a deliberate and symbolically violent power strategy. This often suggests **weak corporate governance**, where decisions are made behind closed doors without accountability. This raises red flags for shareholders, who may suspect mismanagement, ethical breaches, or conflicts of interest (Tricker, 2019).

A culture of secrecy, while often used to preserve authority or reduce internal dissent, distorts organizational transparency and weakens the foundation of psychological safety. While it may appear to minimize conflict or protect leadership from scrutiny in the short term, it sows the seeds of mistrust, emotional detachment, and organizational cynicism. These dynamics—left unaddressed—have wide-ranging consequences that reach far beyond interpersonal discomfort, ultimately threatening both employee well-being and the company's long-term sustainability. These implications will be further explored in the following sections.

6.4.Toxic Leadership and Authoritarian Management

Toxic leadership, particularly in its authoritarian or narcissistic forms, represents a significant threat to a healthy organizational culture. Autocratic leaders typically centralize control, suppress dissent, and discourage open dialogue. In such environments, employees are often afraid to speak up, challenge ideas, or admit mistakes—fearing repercussions rather than feeling supported. This suppression of feedback undermines psychological safety, a critical condition for learning, innovation, and team cohesion (Edmondson, 1999).

In such environments, employees are less likely to speak up, challenge decisions, or offer innovative ideas—largely out of fear of retaliation or embarrassment. Over time, this diminishes morale, increases anxiety, and leads to disengagement from the organization's goals. Moreover, emotional exhaustion becomes common as teams operate under constant pressure, without the support or recognition that encourages sustained performance (Ashkanasy, Zerbe, & Härtel, 2002).

A striking real-world example of the consequences of toxic leadership can be found in Uber's corporate culture during the tenure of former CEO Travis Kalanick. Under his leadership, Uber became notorious for promoting a hyper-competitive and aggressive internal environment. Numerous reports surfaced describing a culture where harassment, discrimination, and retaliation were tolerated or overlooked. In 2017, following growing public and internal pressure, an independent investigation led by former U.S. Attorney General Eric Holder revealed deep systemic issues, resulting in over 20 employee terminations and significant restructuring at the executive level (Isaac, 2017; Holder, Albarran, & Martinez, 2017).

This case illustrates how a leadership style that prioritizes dominance over dialogue can severely damage a company's internal culture and public reputation. The lack of trust and emotional safety within such workplaces not only erodes employee engagement but also hampers collaboration, innovation, and long-term performance. Ultimately, leadership is not just about setting direction—it is also about creating an environment where people feel safe, heard, and valued.

6.5. Lack of Diversity, Equity, and Inclusion (DEI)

A workplace that neglects diversity, equity, and inclusion (DEI) not only perpetuates social inequities but also harms its own internal culture and performance. When DEI is overlooked, exclusionary norms and unconscious biases often go unchallenged, creating a culture that marginalizes certain employees and discourages full participation. This results in lower morale, reduced trust, and a sense of alienation among underrepresented groups (Shore et al., 2011; Roberson, 2006).

When organizations lack diversity, teams often consist of people with similar backgrounds and ways of thinking. This similarity can lead to "groupthink," where team members don't challenge ideas or consider different perspectives. As a result, the company misses out on new and creative solutions to problems (Page, 2007). Research shows that teams made up of diverse

individuals—especially when supported by inclusive practices—are more creative, solve problems better, and adapt more easily to change (Hunt, Yee, Prince, & Dixon-Fyle, 2018).

Moreover, a lack of attention to equity and inclusion negatively impacts employee engagement and retention. Individuals who feel undervalued or systematically excluded are less likely to contribute meaningfully to organizational goals and more likely to seek opportunities elsewhere. In this sense, ignoring DEI is not a passive omission—it actively undermines an organization's ability to build trust, foster collaboration, retain talent and sustain long-term success.

Creating a culture of inclusion is not simply a matter of representation; it requires intentional systems, inclusive leadership, equitable policies, and a commitment to confronting the subtle and structural barriers that impede participation and fairness across all levels of the organization.

7. IMPACT AND CONSEQUENCES

7.1 The human cost

The values that underpin an organization—its culture—directly impact employees' experiences. In a healthy organizational culture, humanization is prioritized: recognizing employees' dignity, individuality, emotional needs, and aspirations. However, when workers are subjected to excessive surveillance, secrecy, or control-driven environments, they risk being dehumanized, treated as mere resources or "cogs in a machine" without real influence or recognition. The human cost undermines both individual well-being and collective workplace dynamics.

This shift toward prioritizing immediate goals and efficiency intensifies pressure, shortens recovery times, and fosters the emergence of burnout—a prolonged response to chronic emotional and interpersonal stressors characterized by exhaustion, cynicism, and inefficacy.

Burnout manifests as chronic stress, anxiety, and emotional exhaustion, leading to disengagement, a weakened sense of purpose, and psychological strain. The result is psychological strain or deterioration, which affects both their **personal lives** and their **performance on the job**.

Personal lives: The exhaustion aspect of burnout is particularly linked to stress-related health problems. Usual consequences include insomnia, anxiety, family issues, depression, and lowered self-esteem (Maslach, Schaufeli, & Leiter, 2001), but there is evidence indicating that burnout can affect individuals' personal lives even worse through somatization (Greenglass,

Burke, & Fiksenbaum, 2001). Research has also shown a connection between burnout and substance abuse, a correlation with neuroticism and job-related neurasthenia, and that people even have nightmares about not hitting rates. Modern workers often turn to caffeine, energy drinks, CBD, and other substances as coping mechanisms to handle the stresses of their demanding work environments (Schaufeli & Taris, 2014; Sapolsky, 2004).

Performance on the job: Such conditions contribute to **high turnover**, an increase on errors and lack of concentration, increased absenteeism, and widespread loss of morale, while also eroding trust in leadership and deepening employees' sense of alienation—a disconnection from their labour, colleagues, and themselves, as described by Karl Marx (1844).

7.2 The innovation cost

Detrimental organizational practices often stifle innovation by fostering a culture of risk aversion and silence. When employees do not feel psychologically safe to voice ideas or challenge the status quo, creativity is stifled, significantly reducing the potential for employee-driven innovation (Edmondson, 1999).

A workplace culture dominated by control, secrecy, or excessive monitoring discourages experimentation, as workers fear negative consequences for failure or dissent. This environment promotes conformity over exploration, thereby undermining the organization's capacity to adapt to changing markets or develop novel solutions. As a result, innovation becomes a casualty of rigid managerial practices, ultimately impeding long-term growth and competitiveness (Brown & Leigh, 1996; Zuboff, 2019).

Corredoira, Goldfarb, Sampson, and Shi (2021) examine the relationship between rising short-termism and the nature of innovation. Research in behavioural economics and finance demonstrates there is a link between time horizons and willingness to engage in riskier investments, and they arrive to the conclusion that short-termism leads to less influential inventions; being those inventions a critical engine for economic growth.

Complementary to this, Santoro, Vrontis, Thrassou, and Dezi (2018) emphasize that employee retention and effective human resource management practices significantly enhance a firm's ability to leverage employee knowledge to boost innovative performance. Additionally, research by Ghani, Hyder, Yoo, and Han (2023) confirms that engaged employees are more likely to demonstrate innovative behaviors, suggesting that nurturing engagement and psychological safety is a strategic necessity for fostering workplace innovation.

7.3 The productivity cost

When organizational culture lacks transparency, trust, or alignment, productivity inevitably suffers. Poor communication channels, ambiguous expectations, and inconsistent leadership practices often lead to confusion, duplication of efforts, and inefficient workflows. Employees expend valuable time and energy trying to navigate unclear priorities, interpret mixed messages, or compensate for the lack of strategic coherence.

In such environments, collaboration tends to weaken as silos form and teams become disengaged from one another's goals. Misalignment between departments or between leadership and staff further disrupts operational efficiency, leading to wasted resources—not only in time and money, but also in human potential. When individuals feel disconnected from the broader mission or unsupported in their day-to-day tasks, motivation and focus decline, ultimately compromising output quality and performance (Kahn, 1990; Saks, 2006).

Over time, this lack of coordination and shared purpose translates into reduced innovation capacity, missed deadlines, and lower organizational agility—factors that severely limit a company's ability to remain competitive in a fast-changing market landscape (Cameron & Quinn, 2011; Denison, 1990).

7.4 The Reputation Cost

When a company publicly promotes ethical practices, sustainability, or employee well-being through its Corporate Social Responsibility (CSR) strategies, but internally engages in practices like excessive surveillance, secrecy, or toxic management, it creates a gap between words and actions. Stakeholders—especially employees, customers, and investors—recognize this inconsistency, which leads to a loss of trust and a perception of corporate hypocrisy (Du, Bhattacharya, & Sen, 2010; Turker, 2009).

In the digital age, detrimental practices (e.g., poor working conditions, union suppression, high turnover due to burnout) are often exposed through media, whistleblowers, or employee reviews (platforms like Glassdoor, LinkedIn, or Indeed allow current and former employees to share experiences publicly, making poor culture visible), and when these stories surface, especially if the company markets itself as socially responsible, the reputational fallout is greater. It appears the company is not just harmful but dishonest, and this damaged employer brand leads to difficulty attracting top talent and negative perception in recruitment markets,

materializing then into time waste at the time to fill in positions and increased hiring costs (Berthon, Ewing, & Hah, 2005; Cable & Turban, 2003).

Corporate Social Responsibility (CSR), defined as a company's commitment to operate in an ethical and sustainable manner by considering its impact on society, the environment, and the economy—beyond its legal obligations and profit motives, plays a critical role in shaping an organization's public image (Carroll & Shabana, 2010; Aguinis & Glavas, 2012). When harmful organizational culture practices contradict a company's stated CSR values, it undermines credibility and causes serious reputation damage.

The reason is that CSR concerns not only the increasing legal and regulatory pressures, but also reputation and brand loyalty, since consumers are increasingly aware of the social and environmental impacts of the companies they support, investors are increasingly looking for companies that prioritize sustainability because they tend to be more resilient, innovative, and risk-conscious in the long term, and workers, especially young people (that tend to be more conscious about environmental matters) seek employers that align with their values (Cone Communications, 2016).

Overall, being a socially responsible company can enhance economic sustainability by fostering long-term relationships with customers, improve brand reputation, contribute to a positive work environment, attract talent, foster employee retention and investments. As the world shifts toward more sustainable practices, businesses that fail to align themselves with CSR and sustainability principles may find themselves at a competitive disadvantage (Porter & Kramer, 2011).

7.5 The Financial Cost

A weak or toxic organizational culture often results in high employee turnover, which can be costly for companies. The expenses associated with recruiting, onboarding, and training new employees quickly add up, putting pressure on operational budgets (Cascio, 2006).

Beyond these direct costs, organizations may also face legal risks related to issues such as discrimination or harassment. These risks can lead to fines, lawsuits, and regulatory penalties, all of which carry significant financial consequences (Schein, 2010; Bowen & Ostroff, 2004). Additionally, damage to a company's reputation following such incidents can lead to loss of

investor confidence and stakeholder withdrawal, further threatening financial stability (Kotter & Heskett, 1992; Barney, 1986).

In this way, overlooking the financial implications of a poor workplace culture can undermine an organization's economic health and long-term success.

7.6 The Trust Cost

Trust—both internal and external—is one of the most valuable yet fragile assets in an organization (Reina & Reina, 2006). Internally, when leadership relies on secrecy or inconsistent communication, employees begin to perceive a misalignment between official discourse and everyday experience. This perceived contradiction erodes psychological safety, leading to doubt, emotional withdrawal, and eventually, organizational cynicism—the belief that corporate narratives are disingenuous or manipulative (Bok, 1982; Bigliardi, Dormio, Galati, & Schiuma, 2012).

As this distrust grows, the relational fabric between teams and management weakens. Transparency, accountability, and authentic dialogue are replaced by guarded communication and disengagement. When employees feel excluded from decision-making processes or perceive a lack of honesty, they are less likely to share ideas, voice concerns, or commit emotionally to their work (Schein, 2010; Denison, 1990). Over time, this breakdown of internal trust not only impacts morale and collaboration but also increases turnover and absenteeism (Bigliardi et al., 2012).

Externally, erosion of trust extends to stakeholders such as clients, investors, and partners. A company that withholds information or presents inconsistent messaging risks damaging its credibility and public image. In an era where transparency and ethical governance are increasingly demanded by markets and society, the cost of lost trust can be both reputational and financial (Kotter & Heskett, 1992; Barney, 1986).

7.7 The Cultural Cost

When secrecy, top-down control, or toxic practices become embedded in organizational norms, they gradually reshape the company's cultural DNA. One of the most damaging effects is the fragmentation of organizational identity. Employees no longer experience a shared purpose or feel a sense of belonging. Instead, subcultures of distrust and disengagement form, weakening unity and common vision (Ogbonna & Harris, 2000; Cameron & Quinn, 2011).

In cultures where transparency is absent, collaboration diminishes, and innovation slows. The loss of shared values and authentic connection among employees leads to siloed thinking, defensive behaviour, and reduced collective resilience (Denison, 1990). Over time, a once-cohesive organizational culture becomes unstable, marked by cynicism, conformity, and resistance to change (Bok, 1982).

Such environments also become less attractive to new talent and struggle to retain high performers, further diluting the cultural capital necessary for long-term success. Ultimately, a weakened culture is not merely a soft issue—it undermines the organization's ability to adapt, grow, and compete in dynamic markets (Kotter & Heskett, 1992; Schein, 2010).

8. FROM CONTROL TO COMMITMENT IN THE WORKPLACE – WALTON´S IDEA

It has been stated that there is a strong relationship between the organizational culture and the motivation, commitment and engagement of employees, that enhances productivity, innovation and generates overall economic success. We have also discussed about the practises that diminish this ideal and that leave, therefore, a culture of obedience instead of commitment.

Walton (1985) brings us an idea in which it is precisely commitment what stands as a cornerstone to organizational prosperity in the new era.

Walton illustrates the idea that, in modern society, a model that assumes low employee commitment aiming only for consistent performance rather than exceptional results, is insufficient to meet the high standards set by world-class competitors. Nowadays, market success depends on achieving superior performance, which demands inevitably a deep level of commitment from workers, not just obedience. As evidence has shown, such commitment cannot thrive in a workplace governed by traditional control-based models, which has become obsolete.

Elton Mayo (Mayo, 2011) conducted an experiment at the Western Electric Company to examine the relationship between individual satisfaction and production efficiency. The results of the experiment demonstrated that when workers feel valued and satisfied, their productivity increases. This aligns with the argument put forth by Pfeffer, as highlighted by Stevens (2001), who emphasizes the importance of treating employees as valuable assets for driving organizational success.

Research consistently shows that organizations that prioritize employee well-being, engagement, and development experience improved performance, innovation, and profitability (Ghani et al., 2023). Indeed, it is evident that organizations with low employee engagement tend to experience lower performance compared to those where engagement is higher, and vice versa (Gede & Huluka, 2024), and this correlation reinforces the importance of fostering active involvement and a strong sense of dedication to one's work though a healthy culture, which in turn enhances job performance (Nabhan & Munajat, 2023).

In essence, when employees are treated fairly and are given a sense of belonging, they are more motivated to perform at their best within the organization. Strong organizational commitment, fuelled by shared values and mutual understanding between the company and its workers - as these employees are the ones who provide high-quality service to clients and contribute to the long-term success of the company (Alam & Nahar, 2022) - leads to improved performance and, with it, better financial outcomes and better positioning within the market.

9. HOW IS THIS ACHIEVED? FROM THEORY TO ACTION

However, the question remains: how is this objective achieved? Evidently, it is not through the model that has been subject to critical analysis in the preceding discussion.

Walton (1985) mentions some visible pioneers, among them, General Foods at Topeka, Kansas; General Motors at Brookhaven, Mississippi; Cummins Engine at Jamestown, New York; and Procter & Gamble at Lima, Ohio, that have begun to show how great and productive the contribution of a truly committed work force can be.

As discussed earlier, an efficient motivation strategy that enhances performance through commitment and sense of duty towards the job needs to address both financial and personal growth needs, with economic and non-economic incentives (Mohamed, Matan, & Farah, 2025). The key to achieving such goals does not only regard payments and benefits but also with organizational performance in general (Markos & Sridevi, 2010).

Analysed data drawn from the Workplace Employment Relations Survey (WERS) (Brown, Gray, McHardy, & Taylor, 2015) has shown a positive relationship between the average level of employee trust in managers within the workplace and firm performance. This evidence supports the conclusion that cultivating a workplace where employees feel genuinely valued and motivated requires a multifaceted approach rooted in trust and mutual respect. Research

consistently shows that employee trust in leadership is positively correlated with performance outcomes, as trust enhances communication, cooperation, and commitment across organizational levels (Dirks & Ferrin, 2002). Trust alone, however, is not sufficient.

A truly sustainable motivation strategy must also address work-life quality and ensure employees have a voice in shaping their work environment. Flexible work arrangements and employee involvement initiatives, when well-implemented, contribute to higher job satisfaction and stronger emotional engagement (Kelliher & Anderson, 2010). Involving employees in decision-making processes empowers them and reinforces their sense of belonging, leading to greater organizational loyalty (Cotton et al., 1988). Equally important is the role of transparent and consistent communication, which helps build psychological safety and reduces uncertainty, especially during periods of change (Men, 2014).

In addition to participative practices, organizations must also invest in their people's professional growth. Offering meaningful training and development opportunities signals long-term commitment and enhances both individual performance and internal mobility (Noe, 2017). Finally, job security remains a critical factor in sustaining motivation. A stable employment context allows workers to focus on innovation and improvement without being distracted by fear or insecurity (Greenhalgh & Rosenblatt, 1984).

Taken together, these elements—trust, communication, inclusion, development, and security—form the foundation of a high-commitment work culture. When these dimensions are aligned and strategically integrated, they foster strong employee engagement, organizational citizenship behaviours, and long-term competitive advantage (Meyer, Becker, & Vandenberghe, 2004).

10. WHY HARMFUL PRACTISES PERSIST: THE INCENTIVES BEHIND TOXIC ORGANIZATIONAL CULTURE

If treating employees poorly leads to burnout, low engagement, high turnover, and reduced productivity, why do many organizations persist in these practices? A major contributing factor is the prevalence of *short-termism* and *myopia*: two distinct yet closely related concepts.

Short-termism refers to the pursuit of immediate gains at the expense of long-term organizational performance. Myopia, on the other hand, describes a lack of foresight or an inability to perceive the long-term consequences of present decisions (Marginson & McAulay, 2008). When organizations operate under these lenses, they often fail to recognize emerging

patterns or latent effects, leading to decisions that may appear efficient in the moment but prove harmful over time.

Moreover, some short-sighted thinking is often worsened by the structure of hierarchies and the expectations for each role. For instance, senior executives have an interest in the long-term viability of the company, managing long term projects that require a certain level of perspective and future vision. However, supervisors and mid-level managers focus only on daily performance metrics, sabotaging with "comfortable" practises, the long-term objectives (Jaques, 1990).

The core of the problem lies with mid-level managers, who are responsible for mediating between senior leadership and frontline staff. They represent a new generation of organizational actors caught between strategic competition and the relentless pursuit of operational efficiency.

Some say that their actions and behaviours have significant consequences on how the strategy is formed and implemented within the organization, that they role do not limit to transferring information and turning them into action (Bourgeois & Brodwin, 1984), while others like Porter (1996) believe that, although increasing operational efficiency in individual activities is a necessary part of management, it is not a strategy. Nevertheless, in most cases mid-level managers act primarily as implementers of strategies predefined by top executives, but their role remains crucial in the aim of improving organizational performance, because they have the potential to add value both upward and downward, acting as a bridge between leadership and frontline employees through their perceptions, attitudes, and behaviours (Arıcıoğlu, Gökce, & Gülnar, 2020).

Mid-managers contribute to senior leadership providing input, sharing insight and ideas. Though they are not directly involved in making final strategic decisions, they are the ones responsible for turning strategy into operational goals. Nutt (1987) studied how implementation tactics had an important role in promoting plan success and arrive to the conclusion that the level of success of strategic change efforts increases when middle-level managers participate in the strategy formulation.

In spite of research showing that the importance of mid-level roles in both formulation and implementation of strategic change is gradually increasing (Arıcıoğlu et al., 2020), it is an undeniable truth that the company, from the upper levels, has a huge responsibility in promoting that mid-level-managers act concordantly to the strategic long-term objectives. Mid-managers

and supervisor’s primary interest will be to keep their jobs and their positioning within the company, rather than longing for general future-oriented goals that may even exceed their time in the corporation. That is why if not given the correct incentives to care for sustainable practises, their tendency for Short termism arise rationally, manifesting in strategies like secrecy, which reinforce their authority and yield superficial results in the short run. Studies support this idea showing, for example, that mandatory quarterly reporting encourages managerial myopic behaviour, especially when market pressure is stronger (Koga & Yamaguchi, 2023).

Therefore, only when an organization, starting from its upper echelons, actively promotes a long-term, non-myopic vision and fosters transparent, sustainable practices, will mid-level managers be truly motivated to align with broader organizational goals.

11. ORGANIZATIONAL CULTURE AS A FRAMEWORK FOR STRATEGIC ALIGNMENT

The analysis reveals that the disconnect between top management's strategic vision and mid-level managers' daily decisions often originates from a lack of cultural alignment and insufficient communication of long-term priorities. At its core, this issue traces back to the organization’s culture, which is itself a fundamental component of strategy and is what glues all aspects of the business into a unified whole (Schein, 2010; Porter & Kramer, 2011). Culture should be deliberately shaped to promote practices that are both healthy (for the individuals and for the company) and profitable, while sustainable in the long term (Cameron & Quinn, 2011).

The election and implementation of certain organizational dynamics is something that shouldn’t be left unattended as a part of the company´s strategy. Strategy is long-term, general, and visionary, and must include directions for executives to combine firm resources in an aligned path towards the objectives to gain competitive advantage in the market. This is the essence of strategic alignment.

Mid-level managers, while positioned as operational anchors, operate within the structural and cultural parameters set by the organization. They act within the framework (and limitations) set by the corporation´s culture and incentive structures. If this framework rewards short-term wins, secrecy, or avoidance of risk, it becomes rational for managers to adopt those behaviours, even if they conflict with the company’s stated strategic goals (Khurana, 2007).

Short-term orientation that leads to harmful practices aimed at immediate performance boosts at the expense of organizational health, ultimately repercusses on frontline employees: the individuals who sustain the daily operations and interact directly with clients, and whose well-being is essential to the company's enduring success (Kiron, Unruh, & Reeves, 2020).

The personal and corporate consequences of these organizational dynamics have already been addressed. What must be emphasized, however, is that these behavioural patterns are not necessarily the fault of individuals, but rather the outcome of the broader organizational culture and the signals transmitted by leadership. When leadership prioritizes short-term gains or overlooks unhealthy practices, it becomes rational for mid-level managers to focus on safeguarding their own positions rather than acting in the long-term interest of the organization (Khurana, 2007).

As Michael Porter (1996) points out, senior leaders must define a clear strategy and remain committed to it over time. However, for such a strategy to be effective, it must be embedded within a company culture that extends to all levels of the organization, including the middle. Culture is not just a background element, it directly influences decisions, priorities, and behaviors (Schein 2010).

A long-term orientation enables companies to foster innovation and accumulate intangible assets such as legitimacy, reputation, and trust—critical factors in building strong stakeholder relationships and attracting and retaining talent. Yet, to realize this strategic vision, it is crucial that mid-level managers align their actions accordingly, even when doing so might conflict with their personal convenience (Ghoshal & Bartlett, 1997; Floyd & Wooldridge, 1997). Achieving this alignment depends largely on clear, consistent communication and guidance from upper management that effectively supports and integrates mid-level managers into the overarching strategic framework (Ghoshal & Bartlett, 1997; Floyd & Wooldridge, 1997).

In conclusion, short-sighted business decisions focused solely on immediate performance may deliver quick gains, but they ultimately weaken the organization by creating a dependency on a burnt-out and emotionally detached workforce. These strategies erode the foundation needed for sustainable growth. On the other hand, cultivating a transparent, people-centred, and future-oriented organizational culture is not just ethically sound, it is strategically wise. Such a culture enhances employee well-being, reinforces internal cohesion, and builds the organizational

resilience needed to adapt and thrive over time. Lastly, this alignment depends on support and assurance from top leadership.

12. POSITIVE AGENDA: BUILDING A HEALTHY AND COMPETITIVE CULTURE

After examining the consequences of organizational short-sightedness and the dangers of a dehumanized workplace, the question naturally arises: what is the pathway forward? How can organizations cultivate a culture that is not only competitive and efficient, but also sustainable, human-centred, and ethically sound?

The answer lies in redefining success, not as the accumulation of short-term profits at any cost, but as the creation of long-term value grounded in organizational health, employee well-being, and shared purpose. This shift calls for what Richard Walton (1985) described as a commitment-based approach to workforce management, moving away from control, compliance, and efficiency at any price, and instead focusing on building mutual trust, intrinsic motivation, and meaningful engagement.

To achieve this, companies must intentionally develop a strong organizational culture that integrates these values not as slogans, but as lived practices that guide decision-making across all levels. This positive agenda includes several key pillars (Schein, 2010; Cameron & Quinn, 2011):

1. **Long-Term Thinking at All Levels**: The foundation of a healthy culture is the prioritization of long-term value over short-term wins. This requires shifting from an immediate-results mentality to a sustainable growth mindset that extends to strategic planning, performance evaluation, and reward systems. Also, the incentives should recognize efforts that build resilience, innovation, and ethical standing over time.

This mindset must permeate all organizational levels. Managers, often pressured to deliver quick results, need to resist the temptation of short termism and must be empowered and encouraged from the top levels to contribute to a broader vision.

2. **Leadership by Example**: Culture is shaped at the top, and leaders must model the behaviours and values they want to see in others. Following the example of Howard Schultz's at Starbucks, leaders should foster a culture of service and purpose, making it clear that success includes the well-being of their teams, not just financial metrics.

3. **Employee Well-being as a Strategic Asset**: Companies must recognize that employee well-being is not a cost but a key driver of performance and commitment. This includes mental health support, a healthy work-life balance, equitable treatment, and meaningful work.

Designing intrinsically motivating jobs, as research suggests, contributes significantly to job satisfaction, creativity, and retention. Managers need to understand their role in shaping daily experiences and job design. Happiness and satisfaction at work are directly linked to productivity and loyalty, which in turn reinforce long-term performance.

4**. Transparent Communication and Psychological Safety**: Trust cannot exist without open and honest communication. A healthy culture fosters psychological safety where individuals feel secure expressing concerns, ideas, and even criticism without fear of retaliation. This is especially crucial for bridging the gap between strategy and execution. This can be enhanced by regular feedback mechanisms, clear communication of expectations, and visible responsiveness to concerns are essential in building trust and engagement.

5. **Participation and Empowerment**: An inclusive and empowering environment begins by involving employees in decisions that affect them. Participation fosters a sense of ownership and connection to the company's success. Mid-level managers, who often act as mediators between top-down strategy and operational reality, must be enabled to act as true leaders and connectors, not just policy enforcers.

Empowerment also means creating spaces where employees are treated with dignity, have room to grow, and see how their contributions matter. This applies especially to frontline workers who often carry the brand experience directly to the customer.

6. **Continuous Learning and Growth:** A competitive and sustainable culture is one where learning never stops. This includes opportunities for professional development, skill-building, and personal growth. Organizations should recognize and cultivate potential, encouraging experimentation, tolerating failure as part of the innovation process, and rewarding curiosity and initiative.

The ability to adapt and innovate depends on how well people are prepared for future challenges. By investing in their learning, companies also invest in their own resilience.

12.1. The Z theory

William Ouchi proposes a solution: the “Theory Z” (Lopez, 2009), identifies three types of companies: Type A, modeled after American firms; Type J, resembling Japanese firms; and Type Z, which represents a new organizational culture—Culture Z.

Theory Z is participative and rooted in human relations. It views the employee as a whole person, acknowledging that work and personal life are deeply interconnected. Based on this understanding, it promotes essential elements such as trust, teamwork, long-term employment, close interpersonal relationships, and collective decision-making. These principles aim not only to enhance employee well-being but also to improve organizational performance by fostering commitment and loyalty.

Ouchi emphasizes that employment is more than a contractual obligation; it is a structural component of an individual’s life, influencing their living conditions, daily habits, and even their future. When organizations recognize this and invest in the full integration of individuals into the company, a strong sense of belonging develops. This connection inspires employees to contribute fully to achieving business objectives, making high productivity a natural outcome (Palomo, 2003, p. 21).

Theory Z challenges traditional management models that rely on control, threat, or punishment to ensure performance. Instead, it argues that when employees -whether in intellectual, managerial, or operational roles- feel genuinely valued, they become active drivers of the company’s success.

The core of Culture Z lies in cultivating a work environment where collaboration, shared purpose, enjoyment of daily tasks, and pride in accomplishments come together to support long-term performance and meaningful engagement. It offers a compelling vision for organizations that seek both human-centered leadership and sustainable competitive advantage.

13. AT WHAT PRICE? THE TRADE-OFFS OF ORGANIZATIONAL EFFECTIVENESS.

What, then, are the trade-offs of pursuing a truly effective and human-centred organizational culture? While the benefits are well documented, they are not achieved without cost.

To realize these gains, managers and organizational leaders are required to go beyond traditional control-based approaches and commit to a more participatory and trust-based management style. This shift demands significant emotional labour and cognitive flexibility: leaders must

learn to listen more deeply, manage conflict constructively, and foster psychological safety across hierarchies. As Walton (1985) pointed out, moving toward high-commitment work systems implies a redefinition of managerial roles, one that emphasizes facilitation over supervision and dialogue over command.

Additionally, embracing these practices often involves navigating increased levels of ambiguity and unpredictability. In cultures where employees are more autonomous and empowered to participate in decision-making, the clarity and predictability of top-down directives may give way to more distributed processes. While this fosters creativity and responsiveness, it also introduces complexity that requires managers to develop new capabilities in systems thinking, empathy, and adaptive leadership (Heifetz, Grashow, & Linsky, 2009).

There is also a time cost. Building trust, embedding new values, and aligning diverse teams around shared cultural principles is a gradual process. It involves continuous feedback, long-term vision, and the patience to deal with setbacks without reverting to old habits. Organizations that succeed in this transformation often do so through sustained investment in training, communication, and leadership development (Kotter, 1996; Senge, 2006).

Finally, the discomfort of change should not be underestimated. Cultural transformation often triggers resistance, especially when it challenges ingrained beliefs or disrupts power structures. Leaders must be prepared to handle the emotional responses of employees—and themselves—as they shift from compliance-driven systems to trust-based environments. Howard Schultz, CEO of Starbucks, narrates in his book (Schultz & Gordon, 2011) the challenges he had to face in order to guide the company towards such shift, as will be presented in a later section.

In short, while the pursuit of a high-performing, human-centered culture offers substantial returns, it requires a willingness to engage in the hard, and sometimes uncomfortable, work of change. The trade-off is clear: relinquishing control in exchange for trust, certainty in exchange for adaptability, and short-term simplicity in exchange for long-term resilience.

14. THE PERILS OF THE “WE´VE ARRIVED” SYNDROME.

Schein (1990) presents the concept of the “psychological contract” to explain the complex interdependent phenomena that is the relationship between the employee and the employer. He stands that we cannot fully understand psychological dynamics by looking solely at individual motivation or at organizational conditions and practices, that this psychological contract is

based on the individual's expectations about what they can contribute to the company and what the company can offer them in return - and, likewise, what the company expects to receive from the individual and what it can offer them as added value.

But this contract is not static. It evolves over time based on experiences, communication, and organizational changes.

In the initial stages of an organization's development, especially in startups or mission-driven enterprises, there is often a strong alignment between employer promises and employee expectations. This alignment fosters a culture of trust, engagement, and shared purpose, where employees feel valued and are motivated to contribute beyond their formal job descriptions. However, empirical evidence suggests that once a company reaches a certain level of success, it often begins to neglect one of the key elements that balances this contract: the value it provides to the employee. The focus gradually shifts toward maximizing profit and minimizing expenses, leading the organization to view employees as mere figures on the financial balance sheet. In doing so, companies exploit their position of power within the contract, restricting investment in their workforce and undermining the reciprocity that once sustained engagement and loyalty.

The “Success Syndrome” refers to what happens when companies that start with a strong human-centred culture begin to abandon their core values as they grow or achieve success. This mindset leads leadership to believe that the foundational efforts that propelled the organization to success are no longer necessary. Once they feel they’ve “arrived,” they become complacent, focus on maintaining their position, and start prioritizing profits over people—weakening the very foundation that once made them stand out (Senge, 1990; Kotter, 1996).

Such shifts can lead to breaches in the psychological contract. Employees who once felt a deep connection to the organization's mission may perceive these changes as betrayals of the implicit promises made to them. The result is often, again, decreased morale, reduced trust, and increased turnover, with the logical consequences already mentioned (Rousseau, 1995; Robinson & Rousseau, 1994).

To keep a healthy organizational culture and respect the psychological contract, leaders must stay alert to the danger of becoming too comfortable with success. Staying connected with employees, being transparent, and staying true to the company’s core values are key to making sure success doesn’t weaken the culture (Schein, 2010; Rousseau, 1995).

15. STARBUCKS AS AN EXAMPLE OF EFFECTIVE CORPORATE CULTURE

Fortunately, examples are available of companies that manage to uphold over time the values they originally adopted as moral and ethical pillars in pursuing their goals. A prime example is Starbucks, the world's largest coffeehouse chain.

Howard Schultz, former CEO and the main driver behind Starbucks' expansion, recounts the journey and challenges he faced in maintaining—or, in some cases, restoring—the practical application and integrity of the company's values, goals, and priorities (Schultz & Gordon, 2011). Schultz speaks, above all, of love and passion. He describes a cup of coffee as a way to "inspire the human spirit." His book makes clear the passion with which he has dedicated his life to guiding Starbucks from the beginning, the times he stepped in personally when needed, and the ways in which he made difficult choices—even when they went against his own personal interests—in order to protect and reaffirm the kind of mark the company wanted to leave on the world: on every person who entered a store to buy a cup of coffee, and on everyone involved in the production process, from farmers to baristas to managers.

He stands, "*I believed that Starbucks would thrive not just because of our coffee, but also because of our guiding principles. I was determined to create a different kind of company – one that would be committed to building shareholder value and to the fiscal responsibility of making a profit, yet all the while recognizing that, in order to do so and to do it well, we had to act through a lens of social consciousness*" (Schultz & Gordon, 2011, p. 11).

In line with this purpose, Starbucks implemented several key initiatives that reflected its values in practice. One of the core pillars of Starbucks' culture is its commitment to partner (employee) well-being and engagement. The company refers to its employees as "partners," emphasizing mutual respect and shared success. This terminology is more than symbolic; Starbucks provides its partners with comprehensive benefits uncommon in the retail sector, including health insurance (even for part-time workers), stock options, and tuition reimbursement programs through its College Achievement Plan (Starbucks Corporation, n.d.; Rodriguez, 2019). "*Infusing work with purpose and meaning, however, is a two-way street. Yes, love what you do, but the company should love you back*", he says (Schultz & Gordon, 2011, p. 14). These practices foster a sense of belonging and investment, reflecting the importance of non-financial incentives and personal growth opportunities highlighted in previous sections (Mohamed, Matan, & Farah, 2025; Markos & Sridevi, 2010).

The company Gave full and part-time partners equity, "*demonstrating that we respect our people enough to share our success*" (Schultz & Gordon, 2011, p. 16). Starbucks places a strong emphasis on open communication and employee involvement. Regular "Partner Forums" and feedback mechanisms empower employees to voice concerns and contribute ideas, which helps build psychological safety (Edmondson, 2019). This open culture contrasts sharply with the secrecy and control tactics found in toxic workplaces (see sections 7.3 and 7.4), demonstrating how transparency can underpin sustainable employee engagement and loyalty.

Starbucks also leads in its commitment to diversity, equity, and inclusion (DEI). The company has set ambitious goals to increase diversity in leadership and foster an inclusive environment where all partners feel valued and respected. These efforts align with evidence that diverse and inclusive workplaces boost creativity, problem-solving, and resilience (Page, 2007; Hunt, Yee, Prince, & Dixon-Fyle, 2018). Initiatives like unconscious bias training, employee resource groups, and working with diverse suppliers show a clear commitment to diversity, equity, and inclusion. These efforts help prevent the problems that come from having too much sameness, such as limited ideas and poor decision-making, which can hurt how well an organization performs.

The company invested over $47 million in local and global communities, supporting areas such as education, youth literacy, disaster relief, and environmental awareness. Furthermore, Starbucks required its coffee suppliers to meet strict environmental and humanitarian standards as a prerequisite for partnership. Internally, the company prioritized promoting individuals who not only performed well but also embodied values like heart, conscience, and emotional intelligence.

Sustainability is another cornerstone of Starbucks' strategy, bridging ethical responsibility with long-term business success. The company has invested heavily in ethically sourcing coffee through its Coffee and Farmer Equity (C.A.F.E.) Practices, ensuring environmental stewardship and fair wages for farmers. Additionally, Starbucks has committed to ambitious environmental goals, such as reducing carbon emissions, conserving water, and minimizing waste through recycling and reusable cup programs (Starbucks Corporation, n.d.). These initiatives align with the broader argument that socially responsible and sustainable practices contribute not only to ethical integrity but also to competitive advantage in today's market (Eccles, Ioannou, & Serafeim, 2014).

Importantly, Starbucks also avoids common detrimental practices that can erode culture and performance. For example, the company actively resists excessive surveillance and authoritarian management styles. Instead of relying on strict control mechanisms, Starbucks trusts its partners, invests in leadership development, and fosters a culture of mutual respect and empowerment (Barrett, 2018, Michelli, 2007). This approach not only promotes psychological safety but also sustains high levels of motivation and discretionary effort—key drivers of productivity and innovation.

In essence, Starbucks cares about people: employees, customers, shareholders, global communities… everyone. "Starbucks is intensely personal" says his former CEO, who always kept in mind what he wanted the purpose of his organization to be. "*I could not allow us, or myself, to drift into a sea of mediocrity after so many years of hard work. I could just not do it*", he says, and repeatedly executed radical decisions to redirect the company when it started to drift in a myopic push for efficient, rapid growth at the expense of the Starbucks experience.

With all, it is safe to say that structuring a set of values and maintaining them over time, keeping the balance of the psychological contract between the parties, and all of this cultivated from the top management levels is not only an ethical choice, but also a smart business strategy (no one can deny Starbucks´s success and superiority). Prioritizing employee well-being has helped the company build a work environment that fosters loyalty and reduces turnover, reinforcing its commitment to an empathetic organizational culture. Unfortunately, not all companies are led by someone capable of seeing the forest through the trees, a leader who stays true to the ethical and moral principles that once shaped his vision, rather than being swayed by the lure of immediate profit.

16. CONCLUSIONS

This thesis has explored how organizational culture functions as a central lever for achieving sustainable competitive advantage. By examining theoretical frameworks, reviewing empirical literature, and analyzing real-world examples—such as Starbucks—it becomes evident that companies which foster a culture based on trust, transparency, inclusion, and long-term strategic alignment are better positioned to adapt, innovate, and thrive. A key insight is that culture is not an abstract concept, but a tangible system of values, practices, and leadership behaviors that directly influence performance.

The model proposed throughout this work emphasizes the shift from control-based management to commitment-based cultures, in which psychological safety, meaningful work, and ethical leadership are prioritized. The experiences of successful companies reinforce this model by demonstrating that human-centred practices lead not only to better employee well-being but also to stronger reputation, innovation, and profitability.

However, this research is not without limitations. As a literature-based, descriptive thesis, it does not include empirical data collected directly from organizations, which could have strengthened the analysis. Additionally, case examples are selectively chosen and may not reflect all industry contexts. Cultural differences across regions or sectors are also not deeply explored, which may influence the generalizability of the findings.

Future research could build on this work by conducting in-depth case studies, employee interviews, or longitudinal analyses that investigate how shifts in culture impact performance over time. There is also room to study the role of digital transformation and remote work in reshaping organizational norms, as well as exploring how culture change initiatives succeed or fail in different organizational life cycles.

In sum, this thesis reaffirms that a healthy organizational culture is not merely desirable—it is essential for enduring success.

17. RESEARCH IMPLICATIONS

The research presented in this thesis has several important implications for both academic inquiry and organizational practice. By positioning organizational culture as a driver of strategic alignment and competitive advantage, this work contributes to a deeper understanding of how intangible factors like trust, inclusion, and employee engagement translate into measurable business outcomes. For academic research, it reinforces the value of interdisciplinary approaches that connect organizational psychology, strategic management, and human resource theory. For practitioners, particularly leaders and HR professionals, the findings suggest that cultivating a human-centred culture is not merely a moral choice but a strategic necessity. It underscores the importance of leadership behaviour, middle management alignment, and people-first policies in building resilient and innovative organizations. Additionally, it highlights the potential risks of toxic practices—such as secrecy, surveillance, and short-

termism—and calls for governance systems that promote long-term thinking and ethical leadership. Finally, this work opens avenues for future empirical studies on the cultural dimensions of performance in an evolving business landscape.

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